

RD-7 — Funding Plans (Run on the Asset / Run on the Business)

Mintware · Bridge/Stripe Stablecoin-Issuing Card Program

Answerable now from real, existing engineering, cited against the live code — not aspirational.

Run on the asset (rapid value decline)

Mintware's program is USDC-denominated — the single most liquid, centrally-issued dollar stablecoin, not an exotic or volatile asset pair. Where ETH/LST collateral is involved elsewhere in the platform, it is discounted by a fixed VaR-style haircut before being counted as spendable, so a price move doesn't translate 1:1 into spending power. The structural protection is the senior/junior tranche ordering, which is code-enforced, not discretionary: community-facing capital is the senior, par-protected, spendable claim; the team's own capital is the junior, first-loss tranche, contractually required to absorb any shortfall before senior capital is ever touched. Senior redemption draws from a fixed-order waterfall — free senior buffer, then a yield adapter, then a bounded partial recovery from the deployed liquidity position, with the junior tranche as the last-resort backstop. This ordering cannot be altered by any admin call.

Run on the business (correlated withdrawal/spend demand)

Two independent, code-enforced circuit breakers exist for this scenario. A system-wide circuit breaker can halt all new authorizations platform-wide regardless of any individual member's balance or cap — a deliberate stop-loss if a stress condition is detected. An always-liquid hot-buffer reserve floor is enforced before any charge is allowed to draw usable liquidity below it, sized to absorb settlement-timing risk. Both mechanisms fail toward halting activity rather than continuing to approve against a system that may not be able to honor its obligations.

Access to external capital — stated honestly

Mintware does not currently have a committed external credit facility, backstop line, or third-party capital-injection arrangement for stressed scenarios. The protection model today is architectural, not capital-based: first-loss absorption by the team's own junior tranche, plus the circuit breaker and reserve floor described above, which halt the system before it can be pushed into insolvency rather than relying on external recapitalization after the fact. This is an accurate reflection of an early-stage program.